

Where should we look first?

Melbourne Airbnb

A focused search before signing a lease

**Start with City of Melbourne
2–3-bedroom apartments.**

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Choosing a property before costs begin

The client plans to lease homes and offer short stays.

Rent stays due when bookings fall.

THE BUSINESS QUESTION

**Which homes deserve
our limited search time?**

THE ANALYTICAL QUESTION

Which property features relate
to stronger past review activity?

A useful shortlist comes before permissions, quotes and a lease decision.

A fair comparison starts with similar homes

25,728

source listings

3,873

comparable listings

1,726

distinct hosts

Entire apartments and houses, 1–3 bedrooms, usable prices and at least one year since the first recorded review.

Our outcome: 30+ reviews in the previous 365 days.

906 separate reference listings set the cutoff.
25.3% of the analysis sample met it.

City of Melbourne apartments lead the search

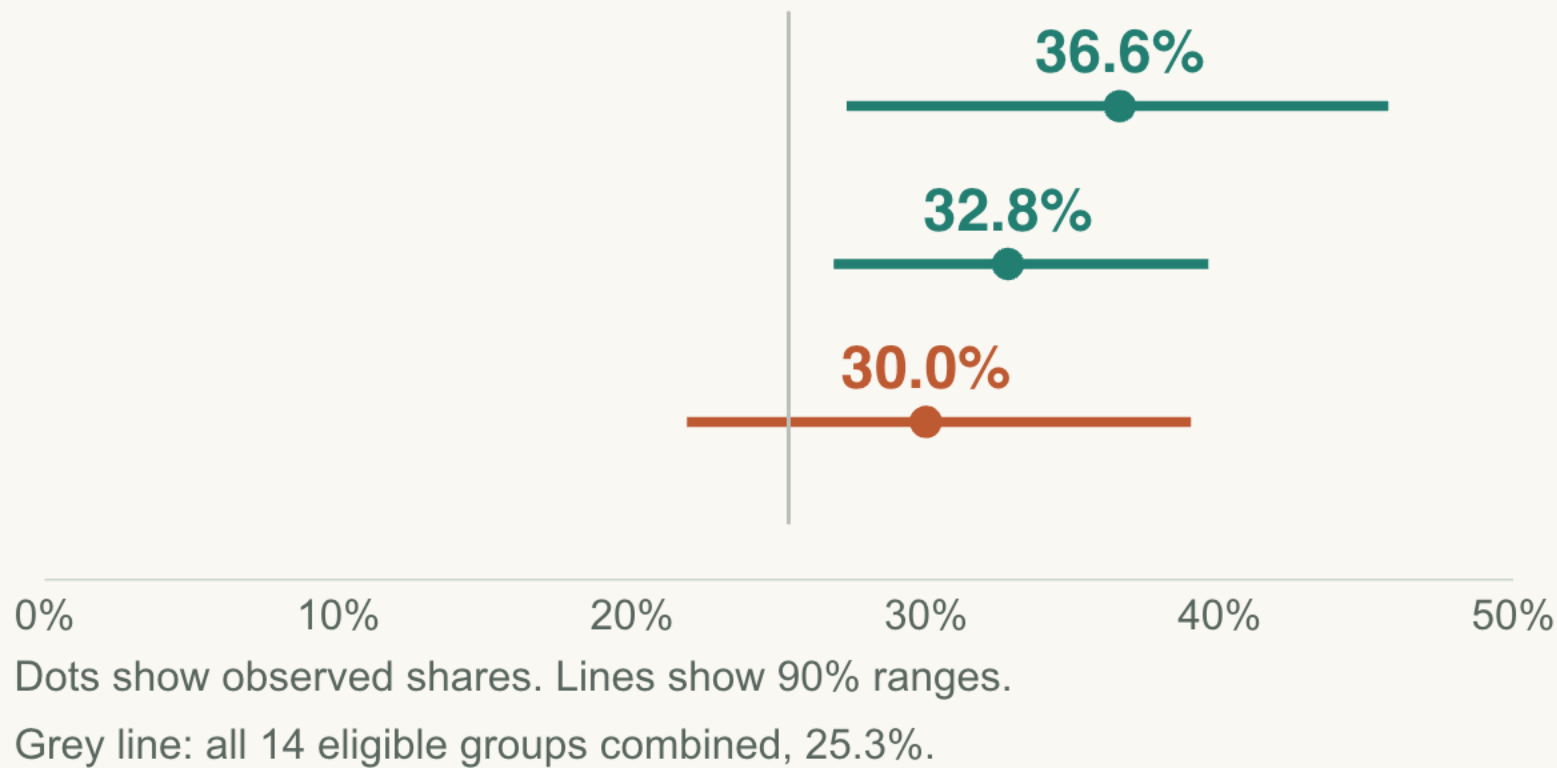
Share reaching 30+ reviews: leading groups among 14 eligible groups

City of Melbourne
3BR apartments (n=306)

City of Melbourne
2BR apartments (n=1,235)

Yarra Ranges
3BR houses/townhouses (n=90)

**Three promising options.
Check quotes and
permissions.**



What the historical ranking score uses

Outcome (Y): 30+ reviews in the previous 365 days, yes or no.

SIX INPUTS (X)

Council area
Dwelling type
Bedrooms
Price relative to peers
Accepts one-night stays
Amenity count

LOGISTIC REGRESSION

Combines six features.

Output: a historical ranking score.

Use the score to decide which homes to investigate.

TWO CONSISTENT ASSOCIATIONS

Accepts one-night stays

More likely to have reached 30 reviews

Price above similar homes

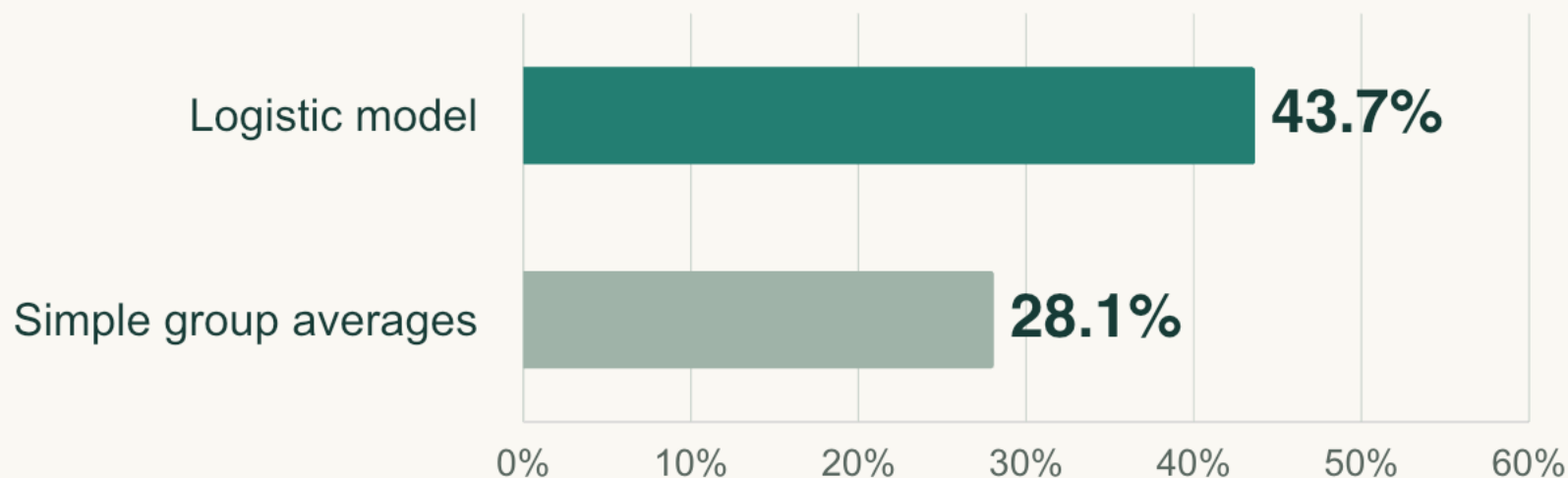
Less likely to have reached 30 reviews

Final main model: logistic regression for clarity. Interim random forest remains a benchmark.

The model found more high-review homes

Historical test across all 3,873 eligible homes

Share of selected homes reaching 30+ reviews



423 / 969

selected homes met the review target.



546 did not meet it.

About 16 more target-reaching homes for every 100 selected.

Test hosts were excluded from training. Future bookings and profit remain untested.

Five host-grouped folds. Same expected screening quota: 969 homes. Ties share the remaining quota.

The same three groups stayed ahead

Same 2,657 surviving homes. Two windows from one snapshot.

A separate check uses 34 reviews as the target in both years.

2024–25

Select the three
leading property groups.

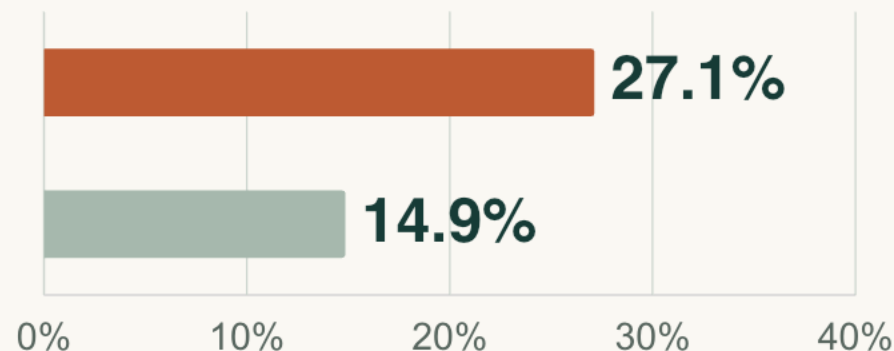
2025–26

Check the same
surviving homes again.

Reached 34+ reviews in the second year

Earlier top three groups **27.1%**

Other seven groups **14.9%**



Supports where to search.

Future model performance remains untested.

Two gates before any lease

01 PERMISSIONS

Confirm landlord consent and applicable building and local requirements.

02 CONSERVATIVE CASH FLOW

Use real quotes and cautious income assumptions. Cover rent, operating costs, setup allowance and a buffer agreed with the client.

Reject a candidate that fails either gate.

Client decision framework. Check actual permissions and use explicit, conservative financial assumptions.



Illustrative render

A 30-day search with clear stop rules

WEEK 1

Property scout

**Find 10 candidates.
Start with city
apartments.**

Keep Yarra Ranges
as a backup.

WEEKS 2–3

Operator and analyst

**Verify permissions,
quotes and cash flow.**

Reject a home if
either gate fails.

WEEK 4

Business owner

**Compare the survivors.
Decide on a small trial.**

Proceed only if both
gates pass.

During a trial, track paid nights, cleaning workload and net cash flow.

THE DECISION TODAY

Approve a focused search.

30 days. 10 candidates.
City of Melbourne apartments first.
Yarra Ranges houses as backup.

Every lease still needs permission
and a viable cash-flow case.

Thank you. Questions?



Illustrative 3D render